Starting & Scaling in 2027 Through the IP Engine

How Singapore Brands Navigate 4 Macroeconomic Shocks by Commercialising Defensible, Asset-Light Intellectual Property

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LEGO GROUP



CHARLES & KEITH

余仁生
Eu Yan Sang
Singapore

EU YAN SANG

BANYAN TREE
HOTELS & RESORTS

BANYAN GROUP

EXECUTIVE SUMMARY

The Strategic Pivot

Conventional dogma tells SME owners to *"stay laser-focused on what you do; don't reinvent new values."* Yet when generational shifts, pandemics, tariffs, and rent inflation strike, static businesses get crushed.

Key Insight: The July 2026 China retreat of **BreadTalk** (460 → ~200 outlets), **Jumbo** (-27.6% China revenue), and **Song Fa** (down to 1 store) proves that a generic "Singapore quality halo" dissolves without defensible, localized IP.

The Execution Engine

The **PCBC Model** (Product, Channel, Brand, Culture) transforms a traditional service or retail operator into an asset-light IP platform that compounds free cash flow across changing environments.

Impact: Benchmarking **Charles & Keith** (~50% handbag revenue), **Eu Yan Sang** (S$21M buyback to S$808M Rohto-Mitsui exit), and **Banyan Group** (+51% PATMI surge in 1H2026 via Branded Residences IP).

Source: FT Synergist Research; SGX Corporate Filings; Straits Times Archives (14 Aug 2025 & 17 Jul 2026)

COMPLICATION: THE "SINGLE-P" COMMODITY TRAP

"Is your business an asset-light IP engine, or just a high-overhead jobbing shop?"

The ASEAN SME Survival Dilemma

While "staying laser-focused" works in stable markets, clinging to a static product or physical store model is fatal during macro shocks. When **BreadTalk, Jumbo Seafood, and Song Fa** relied on a generic "Singapore quality halo" in Chinese shopping malls without localized digital and product IP, domestic challengers (Mixue, Chagee, Tai Er) overtook them—forcing a massive retreat by July 2026.

460 → ~200

BreadTalk China Outlet Contraction (Exited Beijing)

-27.6%

Jumbo China Revenue Drop (S$26.1M to S$18.3M)

1 Store Left

Song Fa Bak Kut Teh Shanghai Contraction

THE FT SYNERGIST IP ENGINE

Commercialising Defensible Capabilities Across 4 Macroeconomic Shocks

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STRATEGIC FRAMEWORK: THE PCBC MODEL



Product IP

Format unbundling & category creation (Handbags, Encapsulated CPG, Branded Residences).



Channel IP

Asset-light decoupling via 20–30 yr management contracts, master franchises & early DTC.



Brand IP

Multi-tier portfolio architecture (10-brand hierarchy) & zero-discounting price integrity.



Culture IP

Translating heritage into peer-reviewed university clinical trials (RCTs) & global trust.

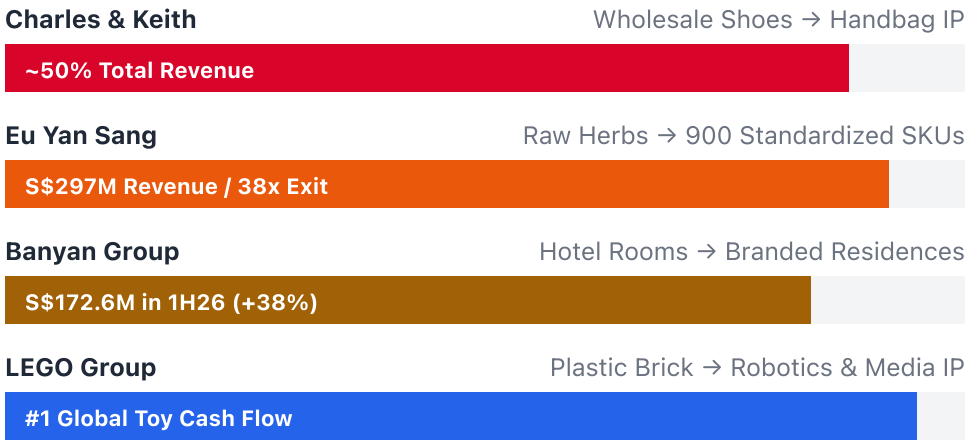
PRODUCT: THE "FORMAT UNBUNDLING" MATRIX

Commercialising New IP Categories to Escape Margin Squeeze

Breaking monolithic single-product reliance to survive generational and cost shocks:

- **Charles & Keith (Handbag IP):** Launched bags in Dubai (2005) for women in abayas seeking personal style. Zero shoe-sizing inventory drag; now **~50% of global business**.
- **Eu Yan Sang (Encapsulated CPG):** Replaced loose raw herbs requiring hours of boiling with **teabags, capsules & bottled bird's nest (900 SKUs)**.
- **Banyan Group (Branded Residences):** Unbundled resort design IP for third-party property developers; **S$172.6M sales in 1H2026 (+38% YoY)**.
- **LEGO Group (Digital & Cinematic IP):** Evolved expired brick patents into **Mindstorms robotics, video games & The LEGO Movie ($468M)**.

UNBUNDLED CAPABILITY MULTIPLIERS



Charles Wong's Timeless Formula: *"We like the Apple model — of lesser designs for the whole world."*

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CHANNEL: "ASSET-LIGHT DECOUPLING"

The Banyan & Apparel Group Alliances

Moving beyond capital-intensive store ownership, **Banyan Group** divested heavy real estate in China and Seychelles to scale via **management & licensing contracts across 100+ resorts** (>140 in pipeline)—celebrating its landmark 100th property at **Mandai Rainforest Resort by Banyan Tree** in Singapore. Similarly, **Charles & Keith** partnered with Dubai's Apparel Group during the 2003 Iraq War to open **>70 Middle East stores** while launching proprietary e-commerce in **2004**.

Strategic Advantage

- **Capital Efficiency:** Third-party developers fund 100% of land, construction, and store capex.
- **Crisis Arbitrage:** Entering during downturns (1997 AFC Causeway Point; 1998 Jakarta; 2003 Middle East; 2008 China) secures prime locations at lower cost.
- **Resilience:** Insulates balance sheet from geopolitical tariffs and landlord rent spikes.



Mandai Rainforest Resort by Banyan Tree (100th Resort Milestone)

100+ Global Resorts • 10 Asset-Light Brands • 600+ C&K Stores (30+ Countries)

Source: Antara News — *"Banyan Group celebrates grand opening of 100th resort and Singapore homecoming"* https://en.antaranews.com/news/388969/banyan-group-celebrates-grand-opening-of-100th-resort-and-singapore-homecoming

BRAND: MULTI-TIER ARCHITECTURE & PRICING POWER

The Problem: Brand Dilution & Crisis Discounting

When SMEs attempt to serve mass-market and luxury segments under a single brand name—or panic-discount during crises—they permanently destroy pricing power.

The COVID-19 Stress Test: When global hotel occupancy plummeted from 90% to 0% in 2020, Banyan Tree Executive Chairman **Ho Kwon Ping took a 100% pay cut** and held transparent town halls, but **strictly refused to slash room rates into mass-market territory**—preserving luxury equity for the 2025–2026 boom.

The Solution: Multi-Tiering & Global Badging

Engineered portfolio separation prevents flagship dilution while capturing volume:

BANYAN (10 Brands): Ultra-Luxury (*Banyan Tree, Veya*) • Upscale (*Angsana, Dhawa*) • Midtier Extended-Stay (*Cassia, Homm*)

C&K LUXURY STAMP: 2011 LVMH (L Capital Asia) 20% stake for global fashion legitimacy → **Bought back 100% in 2016** → 2025 Met Gala red carpet (Shakira, Nicole Scherzinger) & indie designer collabs (Cecilie Bahnsen, Shushu/Tong).

CULTURE: SCIENTIFIC VALIDATION AS MOAT



Source: Inside Retail Asia — *"Eu Yan Sang turns back to its heritage roots"*
https://insideretail.asia/2018/10/15/eu-yan-sang-turns-back-to-its-heritage-roots/

DID YOU KNOW?

Eligible Singapore SMEs can obtain **Market Readiness Assistance (MRA)** up to S$100,000 per new market to defray overseas trademark filings and licensing setup.

Contact FT Synergist to check your eligibility.

Clinical RCTs & Institutional Trust (Eu Yan Sang)

When fourth-generation heir **Richard Eu** led a **S$21 million leveraged buyback** in 1993 from property developer Lum Chang, he recognized: *"The problem wasn't TCM itself, but how it was presented."*

Function: Bridging Eastern Heritage & Western Science

Established clinical research partnerships with **CUHK, HKBU, and NUS**. Subjected century-old *Bak Foong Pills* to **randomized controlled trials (RCTs)**, adopted Australian **TGA standards**, deployed **herb fingerprinting**, and opened **30 integrative TCM clinics** alongside a HK$110M GMP pharmaceutical plant.

Result: Built an integrated company no property developer could strip for parts—culminating in a **S$808 million exit to Rohto Pharmaceutical & Mitsui in June 2024 (38x return)**.

3-YEAR STRATEGIC HORIZON FOR ASEAN SMES

YEAR 1: IP FOUNDATION

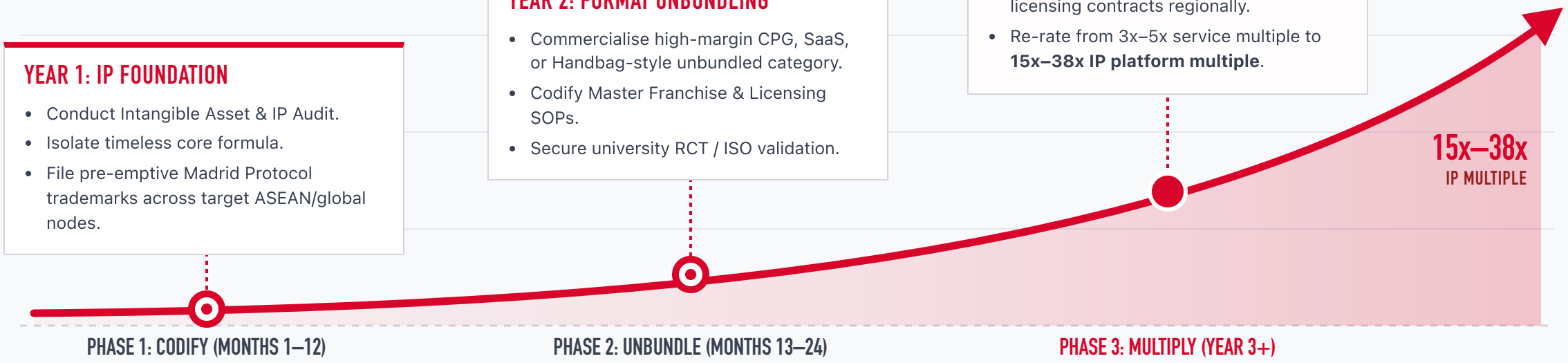
- Conduct Intangible Asset & IP Audit.
- Isolate timeless core formula.
- File pre-emptive Madrid Protocol trademarks across target ASEAN/global nodes.

YEAR 2: FORMAT UNBUNDLING

- Commercialise high-margin CPG, SaaS, or Handbag-style unbundled category.
- Codify Master Franchise & Licensing SOPs.
- Secure university RCT / ISO validation.

YEAR 3+: PLATFORM SCALE

- Scale asset-light management & licensing contracts regionally.
- Re-rate from 3x–5x service multiple to **15x–38x IP platform multiple**.



DID YOU KNOW?

Eligible Singapore SMEs can leverage the **Enterprise Development Grant (EDG)**—and effective **30 September 2026**, the unified **EDGE Grant**—to defray up to 50%–70% of qualifying Strategic Brand, IP & Internationalization consultancy costs. **Contact FT Synergist to check your eligibility.**

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MARKET SENTIMENT: THE HALO TRAP VS. THE IP ENGINE

The Fading "Singapore Halo" View

"For two decades, a Singapore brand in a Chinese mall exuded 'quality' and 'trust.' Today, that golden era is over—being from Singapore has become mere background information."

— Retail Market Investigation on F&B Retreat (Jul 2026)

The Defensible IP Engine View

"It fit into affordable luxury—the ambience of a luxury store, but prices were wow. After Mall of the Emirates, we didn't pitch to landlords. The landlords were running after us."

— Neeraj Teckchandani, CEO Apparel Group (on C&K)

Strategic Implication: Country-of-origin reputation opens the first door, but only **proprietary Design IP, Clinical Validation, and Digital DTC Channels** sustain cross-border pricing power across macroeconomic cycles.

RISK ASSESSMENT & MITIGATION



Brand Dilution

Risk: Multi-tier expansion or panic discounting erodes flagship prestige.

Mitigation: Strict sub-brand separation (*PEDRO, Cassia, Homm*) & zero crisis discounting.



IP Squatting & Leakage

Risk: Hostile squatters register trademarks or copy formulas in overseas markets.

Mitigation: Pre-emptive Madrid Protocol filings & EYSGAP-style ingredient/recipe silos.



Associate & SOP Drift

Risk: Overseas franchisees or legacy JVs drag down quality and earnings.

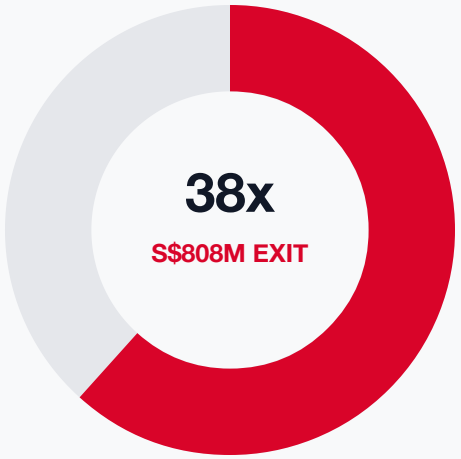
Mitigation: Tie licensing renewals to digital scorecard audits & delayered field governance.

VALIDATION: COMMODITY TRAP VS. THE PCBC IP ENGINE

Enterprise Vector	Legacy Commodity Operator (The 95% Trap)	The PCBC Scaled IP Engine (Top 5%)
Primary Revenue Unit	Manual labor hours; physical store/table turnover	Standardized CPG, Handbag/Design IP, Branded Residences & Royalties
Gross Margin Profile	30% – 45% (Compressed by rent & wage inflation)	65% – 85% (Near-zero marginal cost of IP replication)
Balance Sheet Drag	Heavy commercial leases, kitchen/factory capex	Asset-light; third-party partners fund physical real estate & buildout
Market Trust Mechanism	Generic "Singapore Halo" or unverified claims	Randomized Clinical Trials (CUHK/NUS), TGA/GMP & LVMH/Met Gala badging
Valuation Exit Multiple	3x – 6x EBITDA (Or valued for dead real estate shell)	**15x – 38x Valuation Multiple** (e.g. Eu Yan Sang S$21M → S$808M Exit)

*Analysis synthesized from SGX corporate disclosures, Rohto-Mitsui M&A filings (Jun 2024), and FT Synergist valuation benchmarks.

MARKET: THE S$808M VALUATION FLYWHEEL



Building a Company No One Could Strip for Parts

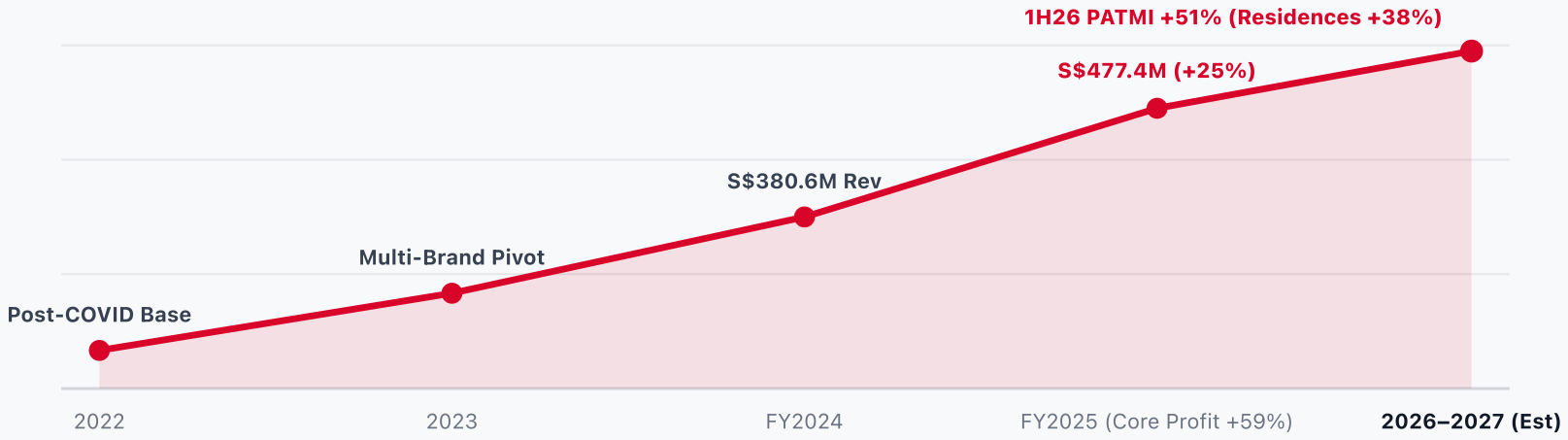
In 1990, Eu Yan Sang was acquired by property developers purely for its real estate shell. Following the **1993 S$21M buyback**, Richard Eu engineered a vertically integrated IP flywheel that **Rohto Pharmaceutical (~60%) and Mitsui (~30%) acquired for S$808M in June 2024**.

- **Intangible IP, Clinical RCTs & Integrated Network (~86%):** 145-yr brand trust, CUHK/NUS clinical validation, EYSGAP farm standards, 30 clinics & 170+ stores.
- **Retained Family & Hard Assets (~14%):** Eu family retained ~10% equity stake with Richard Eu continuing as Chairman to preserve cultural continuity.

Source: Rohto-Mitsui Acquisition Disclosures (June 2024); FY2023 Revenue S$297M

FINANCIALS: THE ASSET-LIGHT GROWTH VELOCITY

Banyan Group Asset-Light Revenue & Residences IP Trajectory (S$ Millions)



2025–2026 Insight: FY2025 Core Operating Profit surged **59% to S$109.8M**, while 1H2026 Residences sales jumped **38% YoY to S$172.6M**—proving exponential operating leverage from asset-light IP licensing.

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ENTREPRENEURIAL LESSONS

1. Format Plasticity

Don't let your initial product format become a cage. Charles & Keith commercialising Handbags (~50% of revenue) and Eu Yan Sang encapsulating centuries-old herbal formulas prove that legacy capabilities can be unbundled into friction-free modern formats.

2. Asset-Light Channel as Weapon

Marketing sells the first unit; Channel IP sells the millionth. Moving from balance-sheet-heavy real estate to long-term management contracts (Banyan Group) and early digital DTC (C&K 2004 e-commerce) builds an unshakeable moat.



ENTREPRENEURIAL LESSONS

3. Crisis as Capability Catalyst

Charles Wong's rule: *"Crisis is not necessarily a bad thing."* Entering Causeway Point (1997 AFC), Jakarta (1998), Middle East (2003 Iraq War), and China (2008 GFC) allowed C&K to secure prime locations and talent while competitors retreated.



4. Scientific Validation First

Institutional validation must precede global scale. Use university clinical trials (CUHK/NUS), TGA compliance, and molecular herb fingerprinting to build category legitimacy that advertising dollars cannot buy.

5. "Business Family" Stewardship

Richard Eu's maxim: *"We are not a family business; we are a business family."* Evolving from family buyback (1993) to SGX listing (2000), Temasek privatization (2016), and strategic sale (2024) multiplied value 38x.

THE FUTURE OF ASEAN SCALING

Singapore brands are no longer just exporting products;
they are exporting defensible Intellectual Property Engines.

Is your brand trapped in a “Single-P” cycle like legacy F&B was?

Claim your 60-Minute Business Sprint with us to kickstart your 2027 IP scaling strategy!

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IMPORTANT!

Check if your company qualifies for up to **50%–70% funding support** for an IP Strategy, Brand Transformation, or Market Readiness Roadmap (EnterpriseSG EDG / MRA & unified **EDGE Grant** effective 30 Sep 2026).

Contact FT Synergist to check your eligibility.